

Review of 'Reverse Engineering the Medallion Fund' PDF

Strengths of the File

- Well-structured: logical flow from history → data → signals → models → execution → risk → culture → simulations → synthesis.
- Evidence-based: uses many citations from credible sources (Zuckerman, Cornell, PWL, Scrivner, etc.).
- Balanced tone: avoids conspiracy, frames content as reconstructions using public info.

Inconsistencies / Weak Spots

- Leverage estimates vary (10x, 20x, 'typical gearing ~10x'). Should be framed as ranges, not absolutes.
- Sharpe ratio often cited as 7–10. This is speculation — public sources suggest >5 but exact value unknown.
- Simulations are oversimplified (coin-flip, toy models). They don't capture slippage, costs, or capacity fully.
- Some claims (Hidden Markov Models, Kelly sizing) rely heavily on anecdote/inference vs. hard sourcing.

Potential Missing Elements

- Options and volatility strategies: very little discussion, though many think this was crucial.
- Regulatory/structural edges: e.g., tax-aware trading, liquidity rebates, exchange relationships.
- Talent retention mechanisms: ownership is covered, but not the deeper incentives that sustained loyalty.
- Modern AI/ML: little mention of transformers, NLP, or modern deep learning on alternative data.
- Comparison to failed peers (e.g., LTCM, DE Shaw spin-outs) to highlight survivorship bias.

Quality Issues

- Density: citations heavy in some sections, while simulations are too simplistic.
- Repetition: '51% win rate × thousands of trades = billions' is repeated too often.
- Speculation labeling: sometimes confident language is used where it should say 'we hypothesize'.
- Formatting: inline reference URLs are messy (with #~:text fragments).

Conclusion

The PDF is a strong foundation, but not perfect. It leans on anecdote and inference without always labeling it clearly, misses coverage of options/volatility and regulatory angles, and simplifies simulations too much. To reach higher fidelity, we should: (1) distinguish sourced vs. inferred claims, (2) expand scope on options, regulation, and modern ML, and (3) add disclaimers on simulation limits. This would improve accuracy, completeness, and credibility.